

“ The Government response has been unimaginative. Some things, which would have been both structural and would have acted as a stimulus, could have been done. ”

SUMAN K. BERY, *Director-General, NCAER*



BANDEEP SINGH

demand except by priming growth? The issue is how fast you can implement public expenditure in infrastructure. But what is the alternative? My bet is that growth will revive in the next six months.

Kumar: I think we always underestimate the role of external demand and given that we have only 1 per cent of the global market share and it has remained 1 per cent since 1947. It is time we talked about market share and not just depend on up and down of the Indian global economy. On the fiscal side, let's not forget that we have had a rural stimulus programme going under NREGS, Bharat Nirman, PMGSY etc for the last four years. Has it worked? If not, the credibility of the stimulus package and Government spending has to be questioned.

Dev: The “rural stimulus” package outlays and the outcomes, I think, are a mixed picture. In NREGS, for instance, some states like Andhra Pradesh and Rajasthan have done well but other states have not. The picture is similar for ICDS, mid-day meals and Sarva Shiksha Abhiyan. There is improvement but there is scope for further improvement.

Debroy: It is difficult to disentangle the growth effect from the incremental effect of these schemes. The question to ask is not whether the Government is having an expenditure effect but is it having a substantial expenditure effect among

the poor. Leakage also leads to expenditure effects somehow and, I guess, the overall figure would be something like 20 to 25 per cent actually reaching the beneficiary. This stimulus, if we can describe the Central-sponsored schemes over the last four years for increased expenditure, has translated into some growth, 25 per cent.

Roy: I would like to point out—since Bibek has been talking about rural expenditure—that there has been increase in rural demand, reflected in the rural demand for FMCG items. So that is something which we need to keep in mind. Given the facts that you have spent that much money in rural India, it is getting reflected somewhere.

Debroy: Are you saying that at an anecdotal level because beyond the anecdotal level, one would look at NSS 2004-2005? It predates many of these public schemes and that also shows growth. So that is the point I was making: that a large part of it is a trend in growth in consumption and income, and it is impossible to disentangle that from the net effect of this expenditure.

Will a Third Front Government Hurt? WHAT IS THE BEST ALTERNATIVE?

Roy: A hung Parliament is bad for growth.

Chawla: Is a non-BJP or a non-Congress government good or bad for growth?

Debroy: My tangential remark is: the BJP is more efficient than the Congress. But the BJP is doing its best to ensure that the Congress wins and the Congress is doing its best to ensure that the BJP wins. As of now the BJP is being more efficient on that. Having said that, as all of us know, we never hang anyone in this country. And having said that, I do not think there can be a worst case scenario for reforms

“ We have to live with the slowdown. Even if we do something in the next six months, the impact will be limited. But it is not as bad as in some developed countries. ”

S. MAHENDRA DEV, *Chairman, CACP*



RAVISH SAHNI